Cooperation & Co-opetition in Digital Markets

Lecture Overview

- Competition is not the only strategy in digital markets
- Platforms often **cooperate and compete at the same time**
- This lecture explores:
- Cooperation
- Co-opetition
- Nepali digital collaborations

Context

Most makes assumption that markets are purely competitive:

- One company wins
- Others lose

But Digital markets are:

- Built on **shared infrastructure**
- Driven by **ecosystems**
- Dependent on **interoperability**

Many platforms **cannot exist alone**.

- Cooperation ≠ weakness
- Cooperation is often a **strategic necessity**

What is Cooperation in Digital Markets?

Cooperation means working together to:

- Share technology or infrastructure
- Expand markets
- Reduce costs
- Improve customer experience
- Occurs even among competitors

- This happens even among **direct competitors**.

Why Digital Markets Encourage Cooperation

Technology is modular

- Digital products are often made of **interconnected parts or modules** (e.g., front-end, back-end, payments, logistics).
- No single company needs to build **everything from scratch**; instead, they can focus on their module and rely on others for the rest.

Example:

- Pathao focuses on ride matching & driver network, while mobile payment is handled via **eSewa** or **Khalti**.

“Building a full ecosystem alone is expensive — modular tech lets firms share the load.”

APIs allow easy integration

- APIs (Application Programming Interfaces) are **digital “bridges”** that let different apps or services communicate.
- Companies can cooperate **without merging** or losing their identity.

Nepali Example:

- **Daraz API** allows local sellers to integrate their inventory
- **eSewa API** lets multiple apps accept digital payments

“APIs are the handshake that makes cooperation seamless and fast.”

Network effects require scale

- Many digital platforms **only become valuable when many users participate**.
- To grow the network quickly, platforms sometimes **partner with competitors or complementary services**.

Nepali Example:

- Wallets like eSewa, Khalti, and IME Pay **accept the same QR codes** to ensure all merchants and users can transact.
- Ride-hailing apps cooperate with mapping services (Google Maps) to ensure riders/drivers match efficiently.

“Cooperation accelerates growth — the bigger the network, the more valuable the platform.”

User convenience matters more than exclusivity

- Users prioritize **ease and speed** over loyalty to a single company.
- If platforms refuse to cooperate, users may **abandon all apps** in frustration.

Example:

- A tourist wants to pay via any wallet at a restaurant. If wallets don't accept common QR codes, users face friction → lower adoption.
- Daraz partners with multiple payment providers to improve convenience.

"Platforms compete for users, but if cooperation improves convenience, everyone benefits."

Cause and Effect

Cause	**Effect / Why Cooperation Happens**
Modular technology	Companies focus on strengths and share infrastructure
APIs	Easy integration without mergers
Network effects	Need many users → cooperate to grow network
User convenience	Platforms must work together to retain users

"In digital markets, cooperation isn't just friendly — it's strategic: technology, network effects, and user expectations all push companies to work together."

Examples

- **Global:**
- Banks cooperating on Visa/Mastercard
- Streaming apps on shared cloud platforms (AWS)
- **Nepal:**
- Banks sharing ATM networks
- Wallets integrating bank payment gateways

- Could eSewa succeed if no bank cooperated with it?

Why Cooperation Happens in Digital Markets

High Development Costs (Technology & Infrastructure)

- Building apps, platforms, and backend infrastructure is expensive.
- Sharing costs reduces risk and accelerates launch.

Example:

- Uber and Google Maps: Uber didn't build its own mapping system.
- Amazon Web Services powers many startups instead of each building a separate cloud.
- Pathao leverages mobile networks (e.g., Ncell, Nepal Telecom) instead of building its own telecom infrastructure.
- eSewa integrates with multiple banks rather than building separate banking systems.

"Cooperation allows startups and platforms to share costs and reduce investment risk."

- **Cause → Effect:**
  High costs → Partnering reduces financial burden → Faster deployment

Need for Standardization

- Users expect platforms to **work seamlessly** across apps and devices.
- Standard formats (like payment protocols, APIs, QR codes) are essential.

Example:

- PayPal and Visa/Mastercard follow standard protocols to process transactions worldwide.
- Android apps follow Google standards to run on all devices.
- Nepal QR standard allows eSewa, Khalti, and IME Pay to accept payments from any user wallet.

“Standardization ensures interoperability and avoids fragmenting the market.”

- **Cause → Effect:**
  Different systems → Cooperation on standards → Smooth user experience → Wider adoption

Faster Market Growth

- When firms cooperate, they **expand the market faster** rather than fighting over a small user base.
- Cooperation is often a **precondition to healthy competition** later.

Example:

- Android ecosystem: Google + OEMs cooperate → Millions of users adopt smartphones → Compete on apps later.
- Fintech wallets cooperating on QR payments → Increases user adoption and merchant acceptance.

"Grow the pie first, then compete for slices."

- **Cause → Effect:**
  Cooperation → More users adopt → Market expands faster → All participants benefit

Strong Network Effects

- Platforms become more valuable as more users join.
- Cooperation helps accelerate growth and overcome early-stage adoption challenges.

Example:

- Facebook partnered with developers and integrated third-party apps to grow user engagement.
- Daraz allows small sellers to join → More products → More buyers → Positive feedback loop

“Cooperation helps platforms reach critical mass faster.”

Faster user adoption → Network effects kick in → Dominance or strong market presence

User Convenience

- Users expect platforms to work **smoothly, across services**.
- Cooperation ensures a **seamless experience**, increasing adoption.

Example:

- Amazon integrates multiple payment options; users don’t need separate accounts.
- Foodmandu + eSewa/Khalti integration → Users can pay with any wallet easily.

“If users find services convenient, adoption grows, benefiting all cooperating firms.”

- **Cause → Effect:**
  Better user experience → More engagement → Higher adoption → Stronger ecosystem

Example

- QR payments grew because:
- Banks
- Wallets
- Merchants
  cooperated
- “You must first grow the pie before fighting for your slice.”

Forms of Cooperation

- **Joint Platforms**
- Platforms created **once** but used by **multiple firms**
- They enable cooperation **without merging companies**
- Usually involve:
    - Data exchange
    - Payment processing
    - Transaction clearing

Example:

- SWIFT network for banks — a single platform used worldwide for interbank payments
- **Nepal Clearing House (NCHL)** — processes interbank transactions, used by all banks
- **ConnectIPS** — government-regulated system connecting banks, wallet providers, and institutions for payments

Forms of Cooperation - Joint Platforms

Benefits of Shared Infrastructure

- Reduces **duplicate investments** (cost saving)
- Improves **efficiency** and **speed**
- Ensures **standardization** across the market
- Lowers **barriers to entry** for smaller players

Nepali Context:

- Small banks and fintech companies can process payments and transfers without building their own clearing system
- Ensures **user convenience**: one system works for all users

Forms of Cooperation - Joint Platforms

Why It Is Often Regulated

- Financial and payment systems involve **trust, security, and compliance**
- Government oversight ensures:
  - Safety
  - Standardized procedures
  - Transparency
- Regulation ensures smaller players can **compete fairly** on top of shared platforms

Examples

- **Bank-to-Bank Transactions:** All Nepali banks clear funds through NCHL
- **Government Payments:** Taxes, fees, subsidies via ConnectIPS
- **E-wallets Integration:** eSewa, Khalti, IME Pay connect via the same infrastructure to allow interoperable payments

Forms of Cooperation - Partnerships

- Two or more companies work together to **create additional value**
- Partnerships can be:
    - **Strategic** – long-term collaborations
    - **Operational** – sharing resources for efficiency

Example:

- Starbucks + Spotify → co-branded playlists to enhance in-store experience
- Uber Eats + restaurant chains → shared promotion.
- Foodmandu + local cloud kitchens → faster delivery and expanded menu options
- Daraz + courier services → shared logistics for nationwide delivery

Forms of Cooperation - Partnerships

Co-Branding

- Two brands collaborate to reach a **larger or more targeted audience**

Nepali Example:

- Daraz co-branded with telecom companies for festival promotions
- FonePay + banks for cashback campaigns

“Co-branding allows both brands to leverage each other’s reputation and audience.

Forms of Cooperation - Partnerships

Shared Logistics

- Companies share transport, delivery, or warehousing resources to **reduce cost** and **improve efficiency**

Example:

- Food delivery apps share cloud kitchens or delivery networks
- E-commerce sellers share third-party courier services

"Shared logistics reduces duplication, speeds up delivery, and lowers costs."

Forms of Cooperation - Partnerships

Joint Marketing

- Collaborating on campaigns, promotions, or advertising

- **Example:**
- Festival sale promotions by multiple Nepali e-commerce platforms (Daraz + local banks)
- Ride-hailing + tourism apps running co-promotions for tourists

"Joint marketing helps reach more users and reduces individual advertising costs."

Forms of Cooperation - Partnerships

- **Food Apps + Cloud Kitchens:** Better menu options, faster delivery
- **Daraz + Payment Wallets:** Smooth checkout and festival promotions
- **Pathao + Maps:** Accurate routing while Pathao focuses on ride service

Forms of Cooperation — Integration of Services

- Multiple platforms or services **work together as one seamless system**
- Goal: improve **user convenience** and **reduce friction**
- Integration often occurs through **APIs or backend connections**

  Example:
- Amazon integrates:
    - Payment gateways
    - Delivery tracking
    - Streaming services (Prime Video)
- Users can shop, pay, and track in **one ecosystem**
- Foodmandu + eSewa/Khalti integration:
    - Users order food → pay digitally → track delivery in-app
- Daraz + ConnectIPS / banks:
    - Smooth payment processing for online purchases

Forms of Cooperation — Integration of Services

- Users prefer **one-stop solutions**
- Reduces **drop-offs and friction**
- Small firms can leverage existing services without building them

Nepal Context:

- Users often struggle with multiple apps for payments, ordering, and tracking
- Integrated services improve adoption of digital platforms

Forms of Cooperation — Integration of Services

Service Integration	Nepali Example	Benefit
Payment + E-commerce	Daraz + eSewa/Khalti	Smooth checkout, higher sales
Ride-hailing + Maps	Pathao + Google Maps	Accurate ride matching, faster trips
Food delivery + Wallets	Foodmandu + e-wallets	Quick payment, better customer experience
Banking + Bill Payments	ConnectIPS	Single platform for multiple transactions

What is Co-opetition?

Co-opetition = Cooperation + Competition

- Companies:
- Cooperate in some areas
- Compete in others
- Common in digital ecosystems

Co-opetition exists when firms:

- Cooperate upstream (technology, infrastructure)
- Compete downstream (customers, branding)

Upstream Cooperation

- Shared technology, APIs, infrastructure, or standards
- Reduces cost and ensures compatibility

Example:

- Google and Android OEMs: Android OS is shared → OEMs build phones → Google gets app ecosystem growth
- eSewa, Khalti, IME Pay collaborate on **interoperable QR payments**
- Banks collaborate on **ConnectIPS**

Downstream Competition

- Competing for users, brand recognition, pricing, promotions
- Each company differentiates on **user experience, pricing, or features**

Example:

- Samsung vs Xiaomi vs OnePlus → compete on devices
- Google vs Samsung apps → compete for usage
- Pathao vs InDrive → compete on fare, driver incentives, app features
- Foodmandu vs Bhojanalay app → compete on delivery, menu, discounts

Why Co-opetition is Common

- No firm controls entire value chain
- Digital products are layered
- Ecosystems outperform isolated firms

"Telecom companies share network towers but compete on plans."

Global Example of Co-opetition

Google & Android OEMs

- **Cooperation:**
- Free Android OS
- Shared app ecosystem
- **Competition:**
- Google apps vs OEM apps
- Hardware differentiation

Value Gained :

- OEMs get OS without cost
- Google gains massive user base
- Users benefit from variety

Nepali Examples of Cooperation & Co-opetition

Fintech Ecosystem

Cooperation:

- Shared QR
- Bank integrations
- Government payment systems

Competition:

- Cashback offers
- UI/UX
- Merchant onboarding

Nepali Examples of Cooperation & Co-opetition

- **Ride-Sharing**
- Pathao and InDrive cooperate with:
  - Maps
  - Payment gateways
- Compete on:
  - Price
  - Driver incentives

“In Nepal, collaboration is survival.”

Benefits of Cooperation & Co-opetition

Market-Level Benefits

- Faster digital adoption
- Standard user experience
- Reduced fragmentation

Business-Level Benefits

- Cost reduction
- Faster scaling
- Access to new users

Market-Level Benefits

Faster Digital Adoption

- Cooperation reduces friction for users, making digital services easier to use
- **Example:** eSewa, Khalti, IME Pay interoperable QR payments → more merchants and users adopt digital payments

Standard User Experience

- Shared standards and APIs ensure apps work predictably
- **Example:** Daraz + multiple payment providers → smooth checkout across platforms

Reduced Fragmentation

- Users don’t need multiple accounts or apps for the same service
- **Global Example:** Android ecosystem with standard OS and app store
- **Nepal Example:** ConnectIPS enables payments across all banks via one system

Business-Level Benefits

Cost Reduction

- Sharing infrastructure and services lowers development and operational costs
- **Example:** Food delivery apps using shared cloud kitchens and delivery networks

Faster Scaling

- Cooperation allows startups to expand quickly without building everything themselves
- **Example:** Pathao scaling rides and food delivery across multiple cities using existing payment gateways and maps

Access to New Users

- Partnering gives access to each other’s customer base
- **Example:** Daraz + telecom partnerships during festivals → millions of new users

Nepali Context

- **Small market:** Total users and capital are limited, so cooperation helps **maximize market reach**
- **Limited capital:** Smaller startups cannot afford standalone infrastructure
- **Sustainability:** Cooperative ecosystems reduce risk and increase long-term viability

Risks and Challenges

- **Major Risks**
- **1. Dependency Risk**
- Smaller firms become dependent on big platforms
- **2. Power Imbalance**
- Dominant platforms dictate rules
- **3. Innovation Lock-in**
- Too much standardization reduces experimentation

- **Example**
- Merchants overly dependent on Daraz
- Drivers dependent on Pathao

Co-opetition in Nepali Digital Businesses

Businesses	Cooperation	Competition	Benefits
eSewa + Nabil Bank	Shared QR/payments	Cashback, UX, app features	Faster adoption, more convenience
Daraz + Pathao Delivery	Delivery infrastructure	Pricing, speed, coverage	Efficient logistics, satisfied customers
Pathao + Mero Trip	Integrated booking	Ride pricing, promotions	Better tourist experience, higher adoption

Key Takeaways

- Digital markets are ecosystems, not isolated firms
- Cooperation is common and necessary
- Co-opetition helps platforms grow faster
- Nepal’s digital growth depends on collaboration
- "In digital markets, the biggest competitors today may be tomorrow’s partners."